

is gone, you've spent your budgeted amount. If necessary, you could transfer cash from one envelope to another, and there's no need to adjust your budget.

7. 15–20 minutes a week

Now, the budget and spending plan I've outlined above is fairly simple and headache-free—but you shouldn't assume that it doesn't need any maintenance. You should devote 15–20 minutes a week to ensuring that your finances are in order. Just this little amount of time each week will greatly simplify your financial life, reduce headaches, and prevent any messes from occurring later. Set a day and time when you take a look at your finances each week. Set aside 30 minutes, just to be safe. Now take 5–10 minutes to enter your transactions into your financial software. If you're following the plan above, all you'll need to do is go online, look at your bank account, and enter your deposits, bills paid, ATM withdrawals (only do this twice a month!), and any other fees. It shouldn't take long. Now spend another 5–10 minutes to review your budget and make sure that all bills have been paid that should be paid. If not, pay them. It's that simple. You're done. Now go back to reading your blogs.

8. Fewer accounts

Some people have complicated systems set up with lots of different accounts. I say simplify. You don't want to be checking a million different accounts. You should have one checking account and one or two savings accounts (one for emergency fund and one for periodic expenses). You could have a bunch of investment accounts if you want, but I've found it simpler to just have one. I lose diversity, but my fund is already pretty diversified.

9. Dump credit cards

Multiple credit cards are also a headache. Simplify by just having one. Or do what I do—have none. This will draw the usual outraged or preachy reaction from those who really love their credit cards, but I don't care. I don't like credit cards. Call me old-fashioned. They charge high interest and they're potentially dangerous (if you run up a high bill and an expense comes up that you need to pay for which means you can't pay your credit card bill on time, you now are stuck with high-interest credit card debt). Use a debit card if you need to.